



Developmental Challenges in West Africa



Table of Contents

1.0 Executive Summary.....	04
2.0 Economic Growth & Debt Sustainability.....	05
2.1 Recent Trends in Regional GDP Growth	05
2.2 Rising Debt-to-GDP Ratios in West African Economies.....	05
2.3 Role of Multilateral Development Banks (ECOWAS Bank, IMF)	06
2.4 Pathways to Sustainable Debt Management.....	06
3.0 Tariffs & Regional Fragmentation.....	06
3.1 Tariff Barriers and Trade Disruptions.....	06
3.2 Political Barriers to Regional Trade Integration.....	07
3.3 Opportunities for Deepening Regional Value Chains.....	07
4.0 Poverty, Food Insecurity & Infrastructure Gaps.....	07
4.1 Trends in Extreme Poverty in West Africa.....	08
4.2 Food Insecurity Hotspots and Causes.....	09
4.3 Climate Shocks, Agricultural Productivity & Drought Cycles.....	09
5.0 Security & Conflict.....	09
5.1 The Spread of Violent Extremism in the Sahel.....	09
5.2 Civilian Displacement and Humanitarian Crises.....	10
5.3 Recent Coups and Democratic Reversals.....	10
6.0 Youth Unemployment.....	10
6.1 Demographic Realities: The Youth Bulge.....	10
6.2 Labor Market Trends and Informality.....	11
6.3 Policy Recommendations for Reducing Youth Unemployment.....	11
7.0 Developmental Challenges by Country.....	12
8.0 Conclusion.....	43



1. Executive Summary

West Africa stands at a critical juncture marked by immense developmental potential and equally daunting structural challenges. This report provides a comprehensive analysis of the region's most pressing development issues and outlines strategic recommendations for national governments, regional bodies, and international partners.



Economic growth in West Africa has slowed amid global inflation, rising interest rates, and regional instability. Many countries face unsustainable debt levels, with over half of IDA-eligible nations categorized as high-risk or in debt distress.

Poverty continues to remain widespread, with over 40% of West Africans living on less than \$2.15 per day. Food insecurity, exacerbated by conflict, climate change, and market disruptions, threatens millions, particularly in the Sahel. Infrastructure deficits further limit access to services and economic opportunity.

Security challenges are intensifying. Violent extremism in Mali, Burkina Faso, and Niger has displaced millions and spilled into coastal states. A wave of military coups has weakened democratic governance, strained ECOWAS, and deterred investment. Youth unemployment is another critical issue.

To navigate these challenges, the report calls for an integrated strategy that prioritizes fiscal discipline, regional economic integration, peacebuilding, democratic governance, and inclusive development. Coordinating efforts with the African Union's Agenda 2063 and the United Nations Sustainable Development Goals (SDGs) will be essential to building a more resilient and prosperous West Africa.

2. Economic Strain & Rising Debt Pressures

2.1 Trends in Regional GDP Growth

The ECOWAS Bank for Investment and Development forecasts regional GDP growth to decline slightly, from 5.1 % in 2024 to 5.0 % in 2025, due to trade disruptions and rising inflation/interest rates¹.

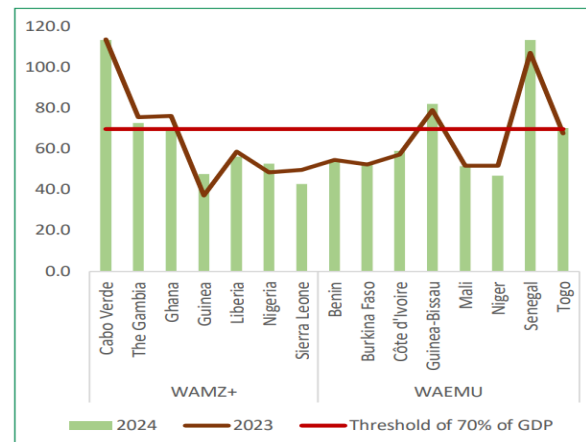
Inflationary pressures, driven by rising food and energy costs, have eroded household purchasing power across the region. Countries like Ghana and Nigeria have experienced double-digit inflation, prompting aggressive interest rate hikes by central banks, which in turn dampen private sector investment and credit expansion.

Several economies remain heavily reliant on **commodity exports** such as oil, cocoa, and gold, making them vulnerable to global price fluctuations. Slower demand from key trade partners like China and the EU has impacted export revenues and fiscal receipts.

2.2 Rising Debt to GDP Ratios

- Senegal's debt-to-GDP ratio nears 120 %, though a GDP rebasing may bring it under 100 %².
- In Western & Central Africa, 53 % of IDA-eligible countries are categorized as high risk or already in debt distress³.
- The combination of rising borrowing costs, currency depreciation, and lower-than-expected revenues, especially from oil, mining and agriculture has weakened repayment capacity. In Nigeria, for example, debt servicing now consumes over 90% of government revenue, leaving little room for capital investment or social spending.

Figure 1: Ecowas Member states' public debt trends



Source: EBID staff based on IMF data



2.3 Monetary Tightening and Financial Spillovers

To contain inflation, central banks in advanced economies, notably the U.S. Federal Reserve and the European Central Bank, implemented aggressive interest rate hikes. These moves triggered a chain reaction in West Africa:

- Capital outflows from emerging markets intensified, leading to exchange rate depreciation, reserve losses, and increased external debt service costs.
- Several West African countries responded by raising their own monetary policy rates, such as the Bank of Ghana, which implemented multiple rate hikes to stabilize the cedi. However, higher interest rates have slowed domestic borrowing and constrained business expansion, particularly for SMEs.
- The cost of external borrowing rose sharply, making it harder for governments to issue Eurobonds or refinance maturing debt. This has forced some countries, including Ghana and Nigeria, to rely more on domestic borrowing and multilateral financing.

2.4. Pathways to Sustainable Debt Management

To achieve long-term debt sustainability, West African countries must adopt a multi-pronged approach to achieve long-term debt sustainability, West African countries must adopt a multi-pronged approach that includes fiscal discipline, revenue mobilization, and efficient public investment. Enhancing domestic revenue through improved tax

collection and reducing reliance on volatile commodity exports is key. Countries like Ghana and Côte d'Ivoire are reforming their tax systems to broaden the

base and digitize collections. Debt transparency and management capacity must be strengthened through public debt audits, improved reporting, and institutional oversight.

3. Tariffs & Regional Fragmentation

3.1 Tariff barriers

U.S. trade tariffs and new intra-African tariffs (e.g., from the Alliance of Sahel States) are disrupting trade and cutting remittances, which further depress regional GDP⁴.



3.2 AFCFTA implementation setbacks

Although AFCFTA promises to boost intra-African exports by up to 81 %uptake is low (24 countries actively trading). Progress is hindered by poor infrastructure, governance gaps, and inefficient borders⁵

Assumptions

Growth Rate: Afrexim bank expects ~6.6% annual growth in intra-African trade from 2025

AfCFTA Utilization: If AfCFTA usage expands intra-regional trade's share may edge closer to 19%.

AES Disruption Risk: If the Alliance of Sahel States' tariffs remain or escalate, trade may underperform the 6–8% growth target

Year	Intra-Africa Trade (% of total)	Intra-Africa Trade Value (USD bn)	Notes
2023	17%	196	Afreximbank, EU Neighbours
2024	~17–18%	220 (+12.4%)	Reuters, Afreximbank
2025 (est.)	~18–19%	235–240 (+6–8%)	Forecast by Afreximbank analysts

3.3 Opportunities for Deepening Regional Value Chains

West Africa has the potential to significantly strengthen intra-regional value chains in agro-processing, textiles, pharmaceuticals, and light manufacturing. Nigeria, Côte d'Ivoire, and Ghana, for instance, could collaborate on cocoa processing and packaging rather than exporting raw beans.

By leveraging AFCFTA, countries can tap into a growing African consumer market and reduce dependency on external trade partners. Success depends on targeted investment in infrastructure, regulatory harmonization, and incentives for regional SMEs. Public-private partnerships and cross-border industrial zones, such as the Abidjan-Lagos Corridor, offer promising models.

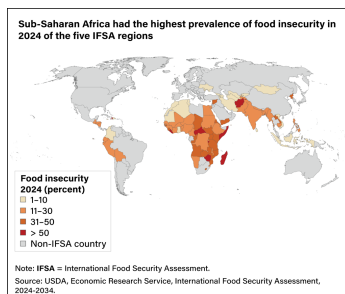
4. Poverty, Food Insecurity & Infrastructure Gaps



4.1 Trends in Extreme Poverty in West Africa

Extreme poverty remains pervasive in West Africa, with over 40% of the population living on less than \$2.15 per day. While some progress was made in poverty reduction during the early 2010s, recent shocks such as COVID-19, global inflation, and conflict have reversed gains. Rural areas remain disproportionately affected, with limited access to services, markets, and infrastructure. Nigeria alone accounts for a significant share of the region's poor, but fragility in Mali, Burkina Faso, and Niger has exacerbated poverty in the Sahel. Urban poverty is also rising due to high youth unemployment and slum proliferation.

About 464 million people in Sub-Saharan Africa live in extreme poverty (2024) ⁶.



Around 120 million Africans face acute food insecurity; 80 % are in conflict-affected areas³.

West Africa requires over \$100 billion annually in infrastructure investment, including energy, transport, and coastal defenses to support growth and AfCFTA⁴.

4.2 Food Insecurity Hotspots and Causes

Food insecurity in West Africa is driven by a combination of factors including climate variability, armed conflict, and market disruptions. The Sahel region remains the most vulnerable, with countries like Burkina Faso, Mali, and Niger facing acute food crises. Conflict restricts access to farmland and displaces millions, while erratic rainfall and desertification affect yields.

The economic fallout of the Ukraine war also contributed to fertilizer shortages and rising food prices. Humanitarian agencies have reported that over 120 million people in Africa, many in West Africa, face food insecurity.



4.3

West Africa's heavy reliance on agriculture, which sustains over 60% of its population, leaves the region acutely vulnerable to climate variability and extreme weather events. Irregular rainfall patterns, prolonged dry spells, and intensifying floods are undermining agricultural productivity, while recurring drought cycles in the Sahel lead to reduced crop yields, degraded pasturelands, and significant livestock losses.

Rising temperatures, advancing desertification, and unpredictable weather threaten both arable land and water resources, deepening rural poverty and food insecurity. Limited access to irrigation, climate-resilient seeds, and adequate storage and transport infrastructure further constrain productivity and resilience. In many areas, these environmental stresses intersect with socio-political tensions, contributing to local disputes over scarce resources and triggering migration pressures.

5. Security & Conflict

5.1 Violent Extremism in the Sahel

West Africa, especially the Sahel region (Mali, Burkina Faso, Niger), faces escalating terrorism and armed insurgencies that have displaced over 2.7 million people and diverted critical resources from health and education to military spending. Groups like ISIS and Al-Qaeda affiliates exploit weak governance and social divides, with violence increasingly spilling into coastal states.

At the same time, a wave of military coups in countries like Mali, Niger, and Guinea has weakened democratic institutions and shaken regional stability. These disruptions have reduced investor confidence, delayed foreign aid, and strained regional bodies like ECOWAS.

The result is a vicious cycle where insecurity undermines development, and underdevelopment fuels further instability.





5.2 Civilian Displacement and Humanitarian Crises

Large-scale displacement remains a defining feature of West Africa's humanitarian landscape, driven by armed conflict, intercommunal violence, and environmental shocks. The Sahel region, particularly Mali, Burkina Faso, and Niger have witnessed surging numbers of internally displaced persons (IDPs) alongside cross-border refugee flows, straining the limited resources of host communities. In northern Nigeria and the Lake Chad Basin, persistent insurgencies continue to uproot populations, disrupting livelihoods and weakening food security. Displacement is often prolonged, with return and reintegration hindered by ongoing insecurity, loss of assets, and the destruction of essential infrastructure such as schools, health facilities, and markets

5.3 Recent Coups and Democratic Reversals

The political landscape of West Africa has been unsettled by a series of military takeovers and democratic backsliding, particularly in Mali, Burkina Faso, Niger, and Guinea. These developments have disrupted constitutional order, weakened institutional checks and balances, and strained relations with regional and international partners. In some cases, military leaders have justified coups as necessary to restore security or address governance failures; however, such interventions often prolong political instability, erode public trust, and delay needed reforms. Suspensions from ECOWAS and the African Union, along with sanctions, have compounded economic pressures on affected states.

6. Youth Unemployment



6.1 Demographic Realities: The Youth Bulge

West Africa is experiencing one of the world's fastest-growing populations, with a significant "youth bulge" as more than 60% of its people are under the age of 25. This demographic structure offers both opportunities and risks: a large, energetic labor force can be a powerful driver of economic growth if adequately educated, skilled, and employed.

However, without sufficient job creation, this youthful population risks becoming a source of social tension, political instability, and increased migration pressures. Rapid



urbanization is compounding the challenge, as young people flock to cities in search of better prospects, often overwhelming housing, infrastructure, and public services. The region's ability to harness this demographic dividend will depend on

effective policies in education, vocational training, entrepreneurship, and economic diversification.

6.2 Labor Market Trends and Informality

The labor markets of West Africa are dominated by informality, with the majority of workers engaged in low-productivity, low-wage activities that offer limited security or social protection. Agriculture remains the largest employer, particularly in rural areas, while urban centers are characterized by informal trade, small-scale services, and casual labor.

Formal job creation has not kept pace with the rapid expansion of the working-age population, leading to underemployment, disguised unemployment, and a mismatch between graduates' skills and labor market needs. Gender disparities persist, with women overrepresented in informal and subsistence-level work.

6.3 Policy Recommendations for Reducing Youth Unemployment

Reducing youth unemployment in West Africa requires a multi-pronged approach that combines immediate interventions with long-term structural reforms. Governments should expand investment in quality education and vocational training aligned with market needs, ensuring that young people acquire both technical skills and entrepreneurial capabilities.

Encouraging private sector development, particularly in labor-intensive industries such as agro-processing, manufacturing, and renewable energy can help absorb new entrants into the labor force. Expanding access to finance for youth-led enterprises, improving infrastructure in secondary cities, and supporting digital economy initiatives can further broaden employment opportunities.

The background of the image is a stylized map of the African continent. The map is rendered in a light, thin-line style and is set against a background with a green-to-yellow gradient. A single, large, light-colored water drop icon is positioned in the lower-left quadrant of the image. The text "DEVELOPMENTAL CHALLENGES BY COUNTRY" is written in a bold, white, sans-serif font, centered horizontally and positioned in the upper-middle section of the image.

DEVELOPMENTAL CHALLENGES BY COUNTRY

COUNTRY: BENIN



Founded

1960

Population

14.5M

GDP

\$21.48B

HDI Rank

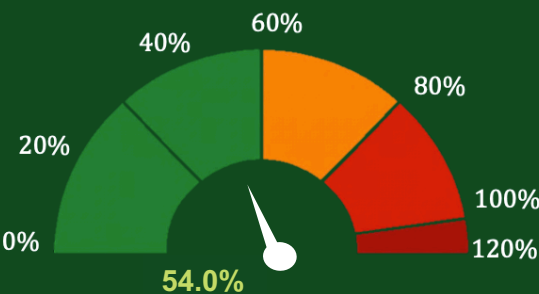
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Overview

Benin faces several economic challenges despite recent growth momentum. The country remains vulnerable to external shocks due to its dependence on trade with Nigeria and a narrow export base.

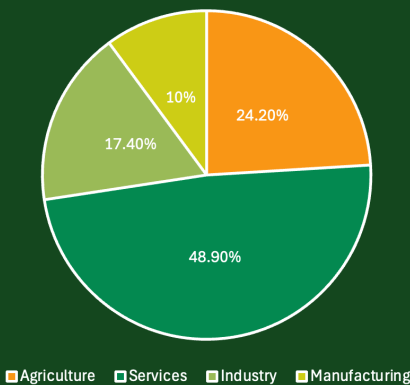
Rising public debt, high youth unemployment, and underdeveloped infrastructure continue to constrain inclusive growth, while climate-related risks threaten agricultural productivity and food security.

Debt to GDP Ratio



Low risk under IMF/World bank Benchmarks

Sectoral Contribution to GDP



Key Economic Development Metrics

GDP per capita:

\$1485

Life Expectancy:

60.8 yrs

Inflation Rate(Avg):

1.2%

Poverty Rate:

36.2%

Developmental Project Highlights

\$9.7 B



National Strategic Transport & Urban Development Plan

\$103M



Port of Cotonou Modernization

\$72M



Illoulofin Solar Power station (Phase 1)



Security Spillovers from the Sahel

- Armed groups linked to al-Qaeda/IS operate in Alibori and Atacora, targeting villages, security forces, and park rangers
- Major 2025 attacks in the W-Arly-Pendjari complex killed dozens of soldiers and displaced rural residents
- Insecurity disrupts eco-tourism, agricultural activity, and wildlife conservation projects
- Government security spending diverting resources from development programs

Trade Disruptions

- Post-coup tensions with Niger have caused repeated closures on the Cotonou–Niamey trade corridor
- Political disputes stalled the Niger–Benin oil pipeline, delaying projected export revenues.
- Nigerian border policy changes frequently restrict informal re-exports, a key Beninese income source
- Port of Cotonou throughput drops sharply during cross-border political standoffs

Dependence on Narrow Export

- Cotton accounts for roughly 40% of export earnings, exposing Benin to global price swings
- Cashew exports remain largely unprocessed, missing value-addition opportunities.
- Agriculture is vulnerable to erratic rainfall and limited irrigation coverage
- The informal trade sector is large but highly sensitive to external policy shifts

Climate Vulnerability

- Over 80% of workforce depends on rain-fed farming
- 2023–2024 below-average rains reduced sorghum and millet yields
- Desertification advancing at ~100,000 ha/year
- Shrinking grazing areas causing farmer–pastoralist disputes

Five-Year Outlook (2025-2030)

- GDP growth expected at 6–7% annually, supported by port expansion, infrastructure projects, and agricultural gains.
- Northern insecurity and border frictions with Niger could disrupt trade and slow investment.
- Coastal erosion, flooding, and erratic rainfall may increasingly affect urban areas and crop yields.
- Overreliance on cotton and re-exports leaves the economy exposed to commodity and policy shocks.

COUNTRY: BURKINA FASO



Founded

1960

Population

23.55M

GDP

\$23.25B

HDI Rank

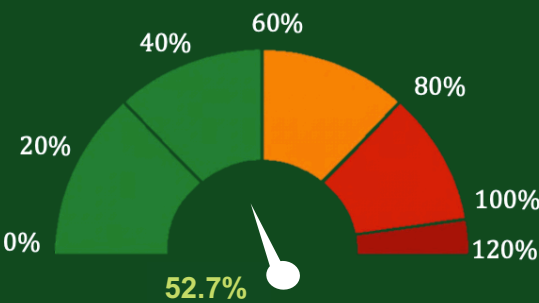
185

Overview

Burkina Faso faces deepening economic challenges driven by ongoing conflict, climate shocks, and fiscal pressures. Insecurity has disrupted key sectors like agriculture and mining, while erratic rainfall has led to food shortages and rising inflation.

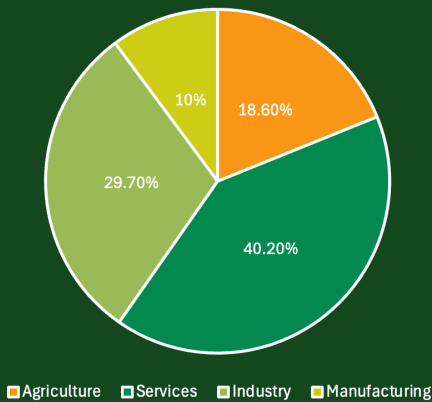
The country also struggles with limited economic diversification, heavy reliance on gold and subsistence farming, and underdeveloped infrastructure that raises trade and transport costs

Debt to GDP Ratio



Low risk under IMF/World bank Benchmarks

Sectoral Contribution to GDP



Key Economic Development Metrics

GDP per capita:
\$987

Life Expectancy:
61.0 yrs

Inflation Rate(Avg):
13.7%

Poverty Rate:
25.9%

Developmental Project Highlights

USD 640 M

USD 188 M

USD 150 M

North Core / Dorsale Nord Regional Power Interconnector

Solar Energy & Access Project

Burkina Faso Water Security Project



Security & Humanitarian Crisis

- 2.1 million IDPs as of 2025 – one of the world's fastest-growing displacement crises.
- Violence concentrated in northern, eastern, and Sahel regions (Soum, Oudalan, Sanmatenga).
- Towns such as Djibo blockaded, cutting humanitarian access.
- Armed groups (al-Qaeda, Islamic State affiliates) target civilians, schools, and aid convoys.

Economic Structure & Employment

- Gold mining = ~70% of export earnings, few jobs, price volatility risk.
- Large mines (Essakane) employ few; artisanal sites lack safety/environmental oversight.
- Agriculture low-productivity; post-harvest losses >20% due to poor storage.
- Youth unemployment 13–15%; high underemployment and migration to cities/abroad.

Social Development Gaps

- 6,100+ schools closed by 2024, affecting 1+ million children.
- Health facilities closed in conflict-hit provinces like Soum.
- Poverty rate 40%, worst in rural areas.
- Women's literacy 29% vs 46% for men; underrepresentation in formal jobs and politics.

Climate Vulnerability

- Over 80% of workforce depends on rain-fed farming.
- 2023–2024 below-average rains reduced sorghum and millet yields.
- Desertification advancing at ~100,000 ha/year.
- Shrinking grazing areas causing farmer–pastoralist disputes.

Five-Year Outlook (2025-2030)

- Displacement could exceed 2.5 million by 2027 without security improvements.
- GDP growth likely volatile at 2–4% annually, tied to gold exports and seasonal farming.
- Climate change to worsen drought cycles, land degradation, and food insecurity.
- Social conditions may deteriorate if school/health closures persist.
- With strong international support and climate-resilient investments, gradual stability and inclusive growth are possible by 2030.

COUNTRY: CABO VERDE



Founded

1975

Population

525K

GDP

\$2.77B

HDI Rank

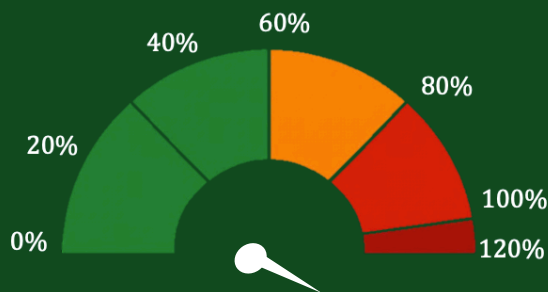
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Overview

Cabo Verde’s economy is gradually stabilizing after recent external shocks, but key vulnerabilities remain. The country’s heavy reliance on tourism and remittances makes it susceptible to global economic shifts and climate-related disruptions.

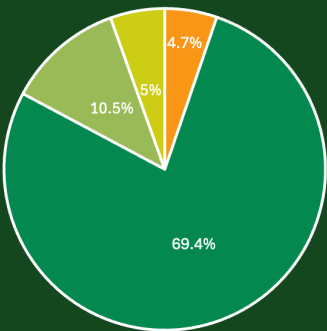
High public debt, exceeding 114% of GDP, continues to strain fiscal sustainability, while limited natural resources and high import dependence pose long-term development challenges.

Debt to GDP Ratio



Very High risk u 113.7%
IMF/World bank Benchmarks

Sectoral Contribution to GDP



■ Agriculture ■ Services ■ Industry ■ Manufacturing

Key Economic Development Metrics

GDP per capita:
\$5273

Life Expectancy:
76 yrs

Inflation Rate:
1.5%

Poverty Rate:
24.8%

Developmental Project Highlights

USD 75 M

Resilient Tourism & Blue Economy Development Project(RTBED)

USD 28 M

Mindelo Cruise Terminal(Porto Grande, São Vicente)

USD 170 M

Morabeza Innovation Project



Heavy Reliance on Tourism

- Tourism contributes roughly one-quarter of GDP, making the economy exceptionally vulnerable to global travel disruptions
- The pandemic-era collapse revealed the dangers of insufficient diversification
- Seasonal fluctuations in visitor numbers create unstable employment and income
- Extreme weather events, lead to sudden and significant drops in tourist arrivals.

Public Debt & Fiscal Constraints

- High public debt constrains the government's ability to fund new development projects.
- Economy's reliance on concessional external financing exposes it to shifts in donor priorities.
- Servicing debt consumes an increasing share of fiscal resources, reducing room for social spending
- Rising global interest rates global complicate debt management

Geographic & Logistic Limitations

- The archipelago's widely dispersed islands make infrastructure investment expensive
- Inter-island shipping and air services are irregular, costly, and sometimes unreliable
- Dependence on maritime imports for most goods leaves supply chains highly vulnerable
- The country's small population and market size limit economies of scale, making it challenging for local industries to compete internationally.

Climate Vulnerability

- Prolonged droughts over recent years have sharply reduced agricultural production,
- Chronic freshwater shortages force reliance on expensive desalination plants,
- Accelerating coastal erosion is damaging tourism infrastructure, particularly on Santiago Maio, islands.
- Cabo Verde imports most of its staple foods, leaving it highly exposed to global price volatility and supply chain disruptions.

Five-Year Outlook (2025-2030)

- GDP growth projected to average 4.5–6% annually, supported by continued tourism recovery, renewable energy development, and investments in port infrastructure.
- Water scarcity, climate-related shocks, and dependence on imported food and fuel will continue to challenge economic resilience and external balances.
- Public debt is expected to gradually decline through fiscal consolidation and steady growth, though the outlook remains sensitive to changes in global financing conditions.
- Expanding into higher-value tourism segments, improving inter-island connectivity, and investing in climate-resilient infrastructure could help reduce vulnerabilities.

COUNTRY: CÔTE D'IVOIRE



Founded

1960

Population

31.9M

GDP

\$86.54B

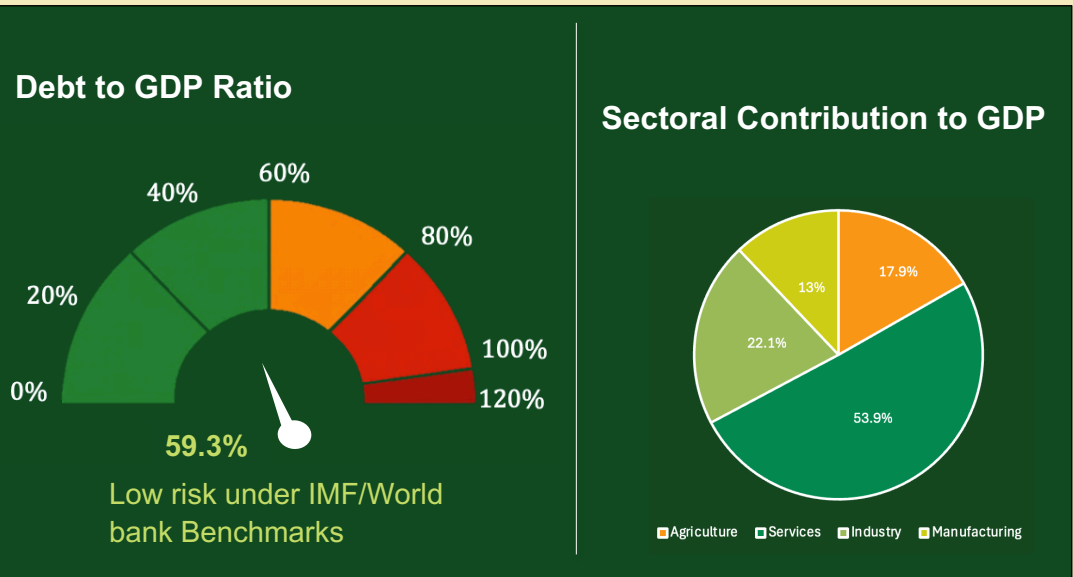
HDI Rank

157

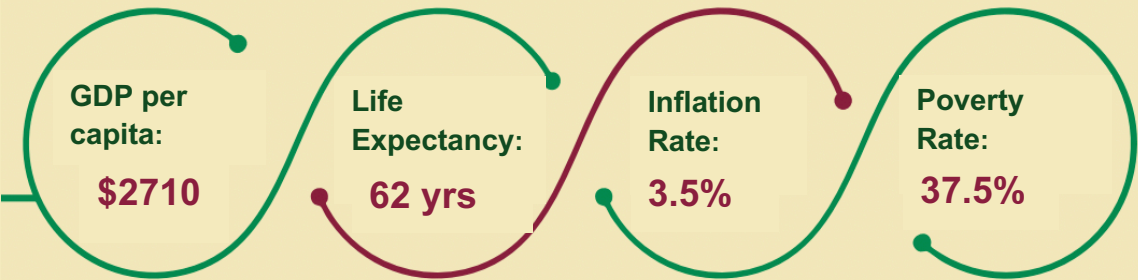
Overview

Côte d'Ivoire has sustained one of West Africa's fastest growth rates, but the 2024–25 cocoa shock has underscored its vulnerability to a single commodity.

Regulators moved to cut forward cocoa export sales for 2025/26 after two weak harvests, while record world prices widened local price gaps and spurred smuggling, weighing on export receipts and fiscal revenues.



Key Economic Development Metrics



Developmental Project Highlights

USD 500 M	Inclusive Connectivity and Rural Infrastructure Project
USD 308 M	Gribo-Popoli Hydroelectric Power Station
USD 50 M	Bouaké-Kobolo Highway



Dependence on Cocoa Exports

- As the world's top cocoa producer, incomes and revenues are highly exposed to price fluctuations.
- Climate change threatens yields and increases crop disease risks.
- Most cocoa is exported raw, limiting value addition and job creation.
- New sustainability rules could raise costs for smallholders.

Congestion & Infrastructure Strain

- Rapid population growth in Abidjan is overwhelming housing, transport, and sanitation infrastructure.
- Chronic traffic congestion raising logistics costs for businesses
- Expansion of informal settlements into flood-prone zones is increasing disaster and public health risks.
- Waste management systems are struggling to keep pace with urban population growth.

Security Risks in Border Areas

- Armed groups from Burkina Faso and Mali have expanded attacks into northern Côte d'Ivoire,
- Rising insecurity in border regions has delayed infrastructure projects such as roads and schools
- Traders, and transport operators avoid high-risk areas, reducing market activity
- Increased security spending diverting resources from development programs.

Debt Management Pressures

- Heavy infrastructure investment over the past decade has increased annual servicing costs.
- Persistent fiscal deficits are slowing the pace of debt reduction
- Economy's reliance on external financing leaves it vulnerable to interest rate changes and global market sentiment.
- Tax revenues remain below potential, limiting the government's ability to expand social programs without additional borrowing.

Five-Year Outlook (2025-2030)

- GDP growth is projected at 6–7% annually, driven by infrastructure expansion, hydrocarbons, mining, and strong domestic demand.
- Inflation is expected to remain within WAEMU's 1–3% range in the medium term, barring major external shocks.
- Debt levels should stabilize with fiscal consolidation, though large external financing needs keep the country sensitive to global conditions.
- Long-term stability will depend on diversifying exports beyond cocoa, expanding agro-processing, and investing in climate-resilient infrastructure.

COUNTRY: THE GAMBIA



Founded

1965

Population

2.76M

GDP

\$21.48B

HDI Rank

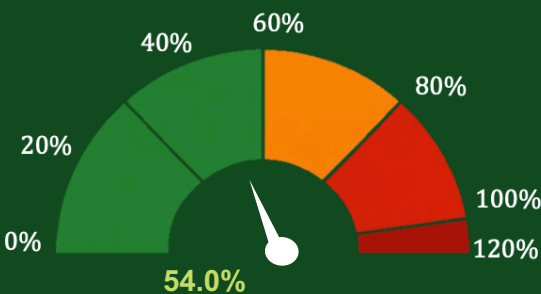
173

Overview

Benin faces several economic challenges despite recent growth momentum. The country remains vulnerable to external shocks due to its dependence on trade with Nigeria and a narrow export base.

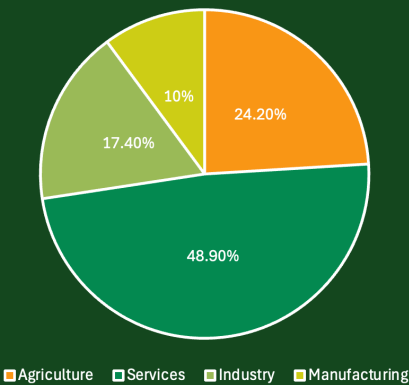
Rising public debt, high youth unemployment, and underdeveloped infrastructure continue to constrain inclusive growth, while climate-related risks threaten agricultural productivity and food security.

Debt to GDP Ratio



Low risk under IMF/World bank Benchmarks

Sectoral Contribution to GDP



Key Economic Development Metrics

GDP per capita:

\$1485

Life Expectancy:

60.8 yrs

Inflation Rate:

1.2%

Poverty Rate:

36.2%

Developmental Project Highlights

USD 53 M

Gambia Infrastructure Project(Transport & Energy Access)

USD 93 M

The Gambia Rise project(Resilience, Inclusion, Skills and Equity)

USD 35 M

Gambia Essential Health Services Strengthening Project



Remittances Dependence

- Remittances make up a significant share of household income, but their volatility creates uncertainty
- Heavy reliance on the Gambian diaspora exposes the economy to economic conditions in host countries.
- Drop in remittances would weaken domestic demand and strain the balance of payments.
- Limited investment of remittance flows into productive sectors

Infrastructure & Energy Gaps

- Electricity access remains uneven, with frequent outages undermining small businesses and industries.
- Poor rural road networks hinder farmers' agricultural competitiveness.
- High transport costs and inefficient logistics weaken trade.
- Water and sanitation infrastructure remains inadequate in many rural and peri-urban areas.

Food Security Risks

- Erratic rainfall and recurrent droughts reduce crop yields and increase reliance on imported staples.
- Coastal erosion threatens fishing communities and tourism infrastructure along the Atlantic coast.
- Overfishing and changing sea temperatures are straining marine resources and livelihoods.

Fiscal & Debt Pressures

- Revenue base is heavily dependent on trade taxes and limits public investment in infrastructure and services.
- IMF-supported fiscal consolidation requires sustained discipline to maintain momentum.
- High debt servicing costs reduce fiscal space for development and social programs.
- External shocks such as commodity price swings or donor funding cuts could quickly undermine fiscal stability.

Five-Year Outlook (2025-2030)

- GDP growth is projected to average around 5% annually, driven by tourism recovery, agricultural improvements, and public investment.
- Inflation is expected to moderate into the single digits by the mid-2020s as food and fuel price pressures ease.
- Continued fiscal consolidation and revenue mobilization could stabilize debt, though the outlook remains sensitive to external shocks.
- Expanding economic diversification, strengthening infrastructure, and improving climate resilience will be critical for inclusive growth by 2030.

COUNTRY: GHANA



Founded

1957

Population

35.1M

GDP

\$82.83B

HDI Rank

143

Overview

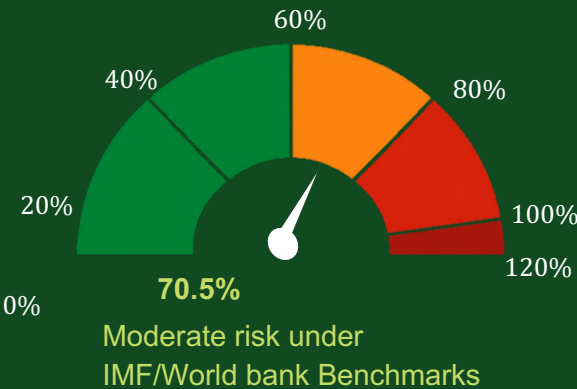
In 2025, Ghana is navigating a fragile recovery marked by fiscal consolidation, debt restructuring, and moderate economic growth. While inflation is easing due to the strengthening of the cedi, key developmental challenges remain:

Energy & Infrastructure Gaps: Persistent energy supply issues and underdeveloped transport infrastructure hamper industrial growth and regional trade integration. (ex: GH¢1 levy on fuel to settle energy debts)

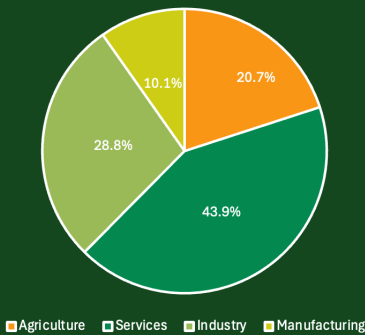
Youth Unemployment: Nearly 1 in 5 young Ghanaians remain jobless, with limited impact from fragmented employment programs.

Education & Health Inequality: Access to quality services remains uneven, particularly in rural areas, despite digital health and EdTech initiatives.

Debt to GDP Ratio



Sectoral Contribution to GDP



Key Economic Development Metrics

GDP per capita:
\$2319

Life Expectancy
65.6 yrs

Inflation Rate:
3.5%

Poverty Rate:
25.9%

Developmental Project Highlights

USD 1.6 B



Agenda 111(District & Regional Hospitals Programme)

USD 500 M



Western Railway Line (Manso-Huni Valley, 102km)

USD 272 M



Tamale Water Supply Project



Debt burden

- Public debt remains elevated after recent restructuring, with significant servicing obligations through 2028.
- Interest payments consume a large share of government revenue, limiting funding for development projects.
- External debt exposure keeps the economy sensitive to global financial conditions.
- Domestic borrowing pressures raises financing costs for businesses.

Inflation & Currency Pressures

- Inflation remains well above the Bank of Ghana's target, eroding household purchasing power.
- Monetary policy remains tight to stabilize prices and support the currency.
- Exchange rate volatility increases uncertainty for investors and import-dependent businesses.
- High food and fuel prices keep living costs contribute to persistent inflationary pressures

Infrastructure & Reform Gaps

- Energy sector inefficiencies lead to intermittent power supply and high operating costs for industry.
- Transport infrastructure gaps raise logistics costs and slow regional trade integration.
- Public sector inefficiencies delay implementation of economic and social reforms.
- Skills mismatches in the labor force limit the growth of high-productivity sectors.

Commodity Dependence

- The economy relies heavily on cocoa, gold, and oil exports for foreign exchange earnings.
- Global price changes directly impact fiscal revenues and the trade balance.
- Smallholder cocoa farmers face yield declines from ageing trees and climate-related stress.
- Limited processing of raw commodities reduces value addition and job creation.

Five-Year Outlook (2025-2030)

- GDP growth projected at 4–5% annually, supported by extractives, agriculture, and gradual recovery in services.
- Inflation expected to decline into single digits by 2027 as fiscal and monetary tightening take effect.
- Debt-to-GDP ratio anticipated to fall steadily after restructuring, with fiscal consolidation improving budget stability.
- Economic resilience will depend on sustaining reform momentum, diversifying exports, and strengthening infrastructure to support private investment.

COUNTRY: GUINEA



Founded

1958

Population

14.5M

GDP

\$25.33B

HDI Rank

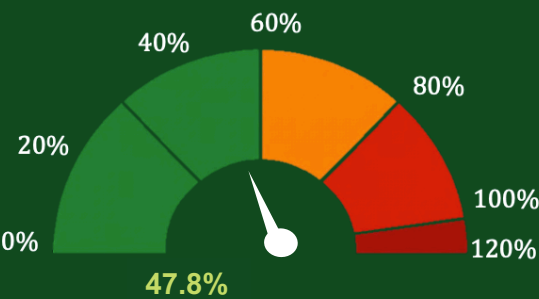
179

Overview

Guinea faces several economic challenges despite a continued bauxite-led growth surge. The economy is highly exposed to global commodity-price swings because mining products account for more than 90 % of exports, while other sectors remain under-developed.

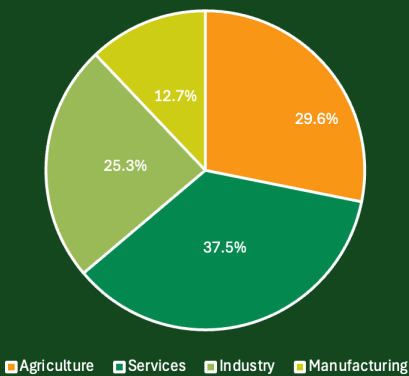
Persistent youth unemployment, weak transport and energy infrastructure, governance gaps, floods that disrupt farming, undermine broad-based growth and threaten food security

Debt to GDP Ratio



Low risk under IMF/World bank Benchmarks

Sectoral Contribution to GDP



Key Economic Development Metrics

GDP per capita:
\$1717

Life Expectancy:
62.9 yrs

Inflation Rate(Avg):
8.1%

Poverty Rate:
43.7%

Developmental Project Highlights

USD 200 M

Guinea Water & Sanitation Project

USD 100 M

Kounki Fisheries & Aquaculture Project

USD 132 M

Electricity Access Scale-up Project-Phase 2



Mining Dependence

- Bauxite exports dominate the economy, accounting for the majority of foreign exchange earnings.
- Global price changes directly affect fiscal revenues and external balances.
- Limited local processing of minerals reduces domestic value addition and employment.
- Heavy reliance on a single commodity increases exposure to external demand shocks.

Institutional Weakness

- Political instability and governance challenges deter investment and slow reforms.
- Weak regulatory enforcement affects transparency in the mining sector.
- Public sector inefficiencies reduce the impact of development spending.
- Corruption perceptions undermine confidence among domestic and foreign investors.

Inflation & Currency Pressures

- High food and fuel prices keep living costs elevated and sustain inflationary pressures.
- Exchange rate instability raises import costs and complicates economic planning.
- The central bank maintains tight monetary policy to contain price growth.
- Price volatility reduces purchasing power and impacts household welfare.

Climate Vulnerability

- Transport infrastructure is underdeveloped, raising logistics costs for mining and agriculture.
- Electricity supply is insufficient and unreliable, limiting industrial development.
- Poor rural roads restrict farmers' access to domestic and export markets.
- Water and sanitation coverage remains low in many regions, affecting public health.

Five-Year Outlook (2025-2030)

- GDP growth projected at 5–6% annually, driven by bauxite production, gold exports, and infrastructure investment.
- Inflation expected to remain in the single digits by the latter half of the decade with stable macroeconomic policy.
- Fiscal performance to improve with mining revenues, though budget stability depends on commodity market conditions.
- Long-term development hinges on diversifying exports, expanding processing capacity, and strengthening governance to attract investment.

COUNTRY: GUINEA-BISSAU



Founded

1974

Population

2.13M

GDP

\$2.12B

HDI Rank

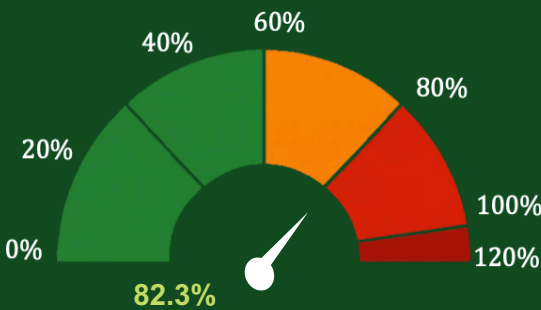
174

Overview

Guinea-Bissau’s economy remains fragile: public debt now tops 80 % of GDP and fiscal deficits persist amid weak tax mobilisation and recurring political instability, squeezing the space for vital public investment.

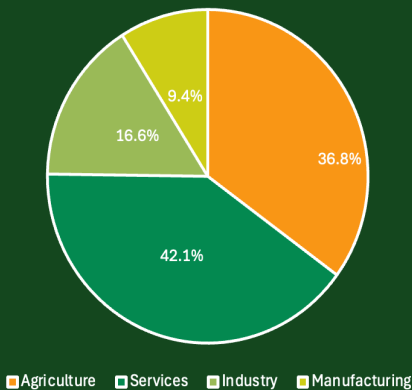
Underdeveloped roads and power networks, high youth under-employment, and climate-driven shocks to staple crops such as cashew and rice deepen poverty and food insecurity, leaving growth vulnerable despite recent gains.

Debt to GDP Ratio



High risk under IMF/World bank Benchmarks

Sectoral Contribution to GDP



Key Economic Development Metrics

GDP per capita:
\$951

Life Expectancy:
64.1 yrs

Inflation Rate(Avg)
3.7%

Poverty Rate:
50.5%

Developmental Project Highlights

USD 70 M

Solar Energy Scale-up & Access Project

USD 53 M

Emergency Water & Electricity Services Upgrading

USD 30 M

Port of Bissau Modernization



Cashew-Dependent Economy

- Cashew nuts make up over 85% of export earnings, tying revenues to a single seasonal harvest.
- Delays in the cashew marketing season disrupt farmer earnings
- Limited local processing means most value is captured abroad
- Fluctuations in global demand cause sharp swings in household and government income.

Political Instability

- Frequent changes of government disrupt economic planning and project implementation.
- Weak political consensus hampers passage of key reforms and budgetary decisions.
- Institutional instability reduces donor confidence
- Governance issues in public administration affect transparency and service delivery.

Social Development Gaps

- Literacy rates remain among the lowest in West Africa, with pronounced gender disparities in education.
- Access to healthcare is limited, and maternal and child mortality rates are high.
- Food insecurity persists in rural areas during the lean season between harvests.
- Youth unemployment and underemployment remain high, pushing migration to neighboring countries.

Basic infrastructure Deficits

- The national road network is limited, with many rural areas cut off in the rainy season.
- Electricity coverage is among the lowest in the region
- Port and storage facilities are inadequate, restricting the efficiency of agricultural exports.
- Poor water and sanitation infrastructure undermines public health, especially in rural communities.

Five-Year Outlook (2025-2030)

- GDP growth projected at 3–4% annually, led by cashew exports, fisheries, and donor-funded public works.
- Inflation expected to remain moderate within WAEMU's target range, supported by regional monetary stability.
- Fiscal position will remain dependent on seasonal agricultural performance and external financing.
- Long-term growth will require diversifying exports, modernizing infrastructure, and improving governance stability to attract sustained investment.

COUNTRY: LIBERIA



Founded

1847

Population

5.61M

GDP

4.75B

HDI Rank

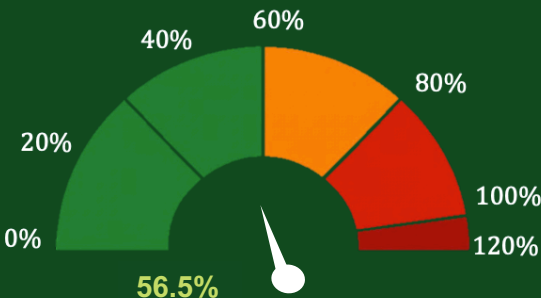
177

Overview

Liberia’s economy grew about 4.8 % in 2024, however underlying vulnerabilities persist: public debt still hovers near 57 % of GDP and, while the fiscal deficit narrowed to roughly 2.7 % of GDP, weak domestic revenue leaves little room for productive investment.

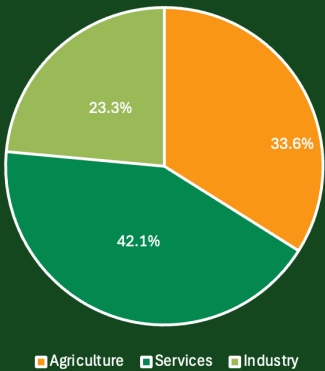
Barely one-third of Liberians have access to electricity, whiles under-employment, high living-cost pressures, and major infrastructure gaps continue to curb growth

Debt to GDP Ratio



Low risk under IMF/World bank Benchmarks

Sectoral Contribution to GDP



Key Economic Development Metrics

GDP per capita:
\$850

Life Expectancy:
65.3 yrs

Inflation Rate(Avg):
8.2%

Poverty Rate:
50.9%

Developmental Project Highlights

USD 68 M

Mano River Union Road Development & Transport Facilitation

USD 27M

Tree Crop Extension Project

USD 11 M

Renewable Energy for Electrification in Liberia



Fragile Transport & Energy Systems

- Reliance on the dilapidated Mount Coffee hydropower plant and costly fuel imports keeps electricity expensive and unreliable.
- Poor rural feeder roads hinder farm-to-market access and drive post-harvest losses.
- Limited coastal port capacity outside Monrovia slows regional trade and increases freight costs.
- Port facilities require modernization to handle trade efficiently and reduce costs.

Narrow Economic Base

- The economy is heavily dependent on iron ore, gold, and rubber exports for foreign exchange
- Plantation agriculture dominates rural employment but offers low wages
- Non-resource sectors such as manufacturing and tourism remain underdeveloped.
- Smallholder farmers face low productivity due to poor inputs, lack of irrigation, and weak extension services.

Fiscal Strain & Donor Dependence

- Domestic revenues account for a small share of GDP, restricting the national budget.
- A large portion of public spending is financed through donor grants and concessional loans.
- High debt servicing obligations limit capital investment in infrastructure and social programs.
- Weak expenditure controls and procurement practices slow budget execution and project

Climate Vulnerability

- Over 80% of workforce depends on rain-fed farming.
- 2023–2024 below-average rains reduced sorghum and millet yields.
- Desertification advancing at ~100,000 ha/year.
- Shrinking grazing areas causing farmer–pastoralist disputes.
- Irrigation covers <10% of farmland, leaving rural areas vulnerable to erratic rainfall.

Five-Year Outlook (2025-2030)

- GDP growth projected at 4–5% annually, driven by mineral exports, agriculture, and donor-funded infrastructure projects.
- Inflation expected to remain moderate with stable exchange rates and food supply improvements.
- Fiscal pressures will persist without stronger revenue mobilization and public financial reforms.
- Long-term resilience depends on diversifying the economy, improving transport and energy infrastructure, and raising productivity in agriculture.

COUNTRY: MALI



Founded
1960

Population
24.5M

GDP
\$26.59B

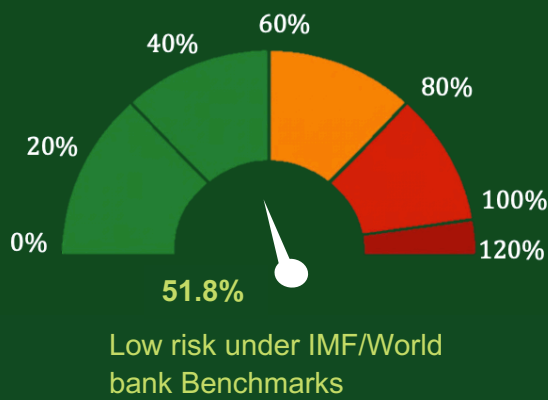
HDI Rank
188

Overview

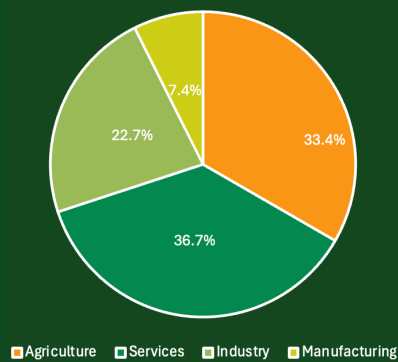
Mali’s economy is expanding at roughly 4 percent, yet growth is constrained by prolonged power outages in 2024 and weaker gold production. Public debt hovers just above 50 percent of GDP and fiscal pressures are mounting, exacerbated by a US \$94 million arrears obligation on the Manantali dam.

Meanwhile, waning donor inflows and a potential withdrawal from ECOWAS compound the challenges posed by a narrow tax base and persistent inflation

Debt to GDP Ratio



Sectoral Contribution to GDP



Key Economic
Development
Metrics

GDP per
capita:
\$1086

Life
Expectancy:
60.0 yrs

Inflation
Rate(Avg):
3.2%

Poverty
Rate:
44.6%

Developmental Project Highlights

USD 220M

Connectivity & Road Resilience Project

USD 100M

Urban Water Supply & Resource Conservation

USD 11 M

Gambia Essential Health Services Strengthening Project



Security Instability

- Armed groups linked to al-Qaeda and Islamic State control territory in northern and central Mali
- Frequent attacks on civilians, markets, and infrastructure undermine rural livelihoods and trade.
- Conflict has displaced hundreds of thousands, straining humanitarian resources.
- Insecurity deters private investment and delays development projects.

Ecowas Disruption

- ECOWAS sanctions in 2022 and regional political tensions have disrupted trade flows
- Overland transport routes face higher costs due to convoy requirements and checkpoints.
- Cross-border commerce with coastal neighbors is constrained, limiting export access to ports.
- Reduced donor engagement following political transitions affects budget financing and project support.

Low Diversification

- Gold accounts for the majority of export earnings, leaving the economy vulnerable to price swings.
- Cotton farming remains a major employer but is sensitive to rainfall patterns and global market shifts.
- Limited industrial base restricts domestic value addition in mining and agriculture.
- Small manufacturing and service sectors contribute minimally to employment and GDP.

Infrastructure Gaps

- Road and rail connections are insufficient to integrate rural areas with national markets.
- Electricity access is low, with heavy dependence on costly thermal generation.
- Health and education services are underfunded, with large rural-urban access disparities.
- Food insecurity is widespread in conflict-affected regions, worsened by erratic rainfall.

Five-Year Outlook (2025-2030)

- GDP growth projected at 4–5% annually, supported by gold mining, cotton production, and gradual recovery in domestic trade.
- Inflation expected to remain moderate with stable regional monetary policy under the WAEMU framework.
- Fiscal position will depend heavily on gold revenues and external financing, with spending pressures from security operations.
- Long-term stability hinges on improving security, restoring regional trade links, and diversifying beyond gold and cotton to strengthen resilience.

COUNTRY: NIGER



Founded

1960

Population

27.0M

GDP

\$19.54B

HDI Rank

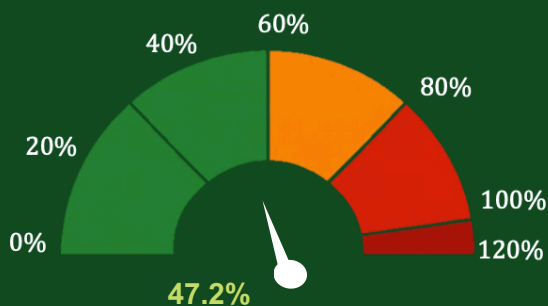
190

Overview

Niger's economy is recovering, supported by new oil exports and a gradual improvement in agriculture, but the macroeconomic framework remains fragile. Fiscal space is constrained as debt-service obligations and reduced external financing weigh on the budget, while energy and transport bottlenecks, a shallow financial sector.

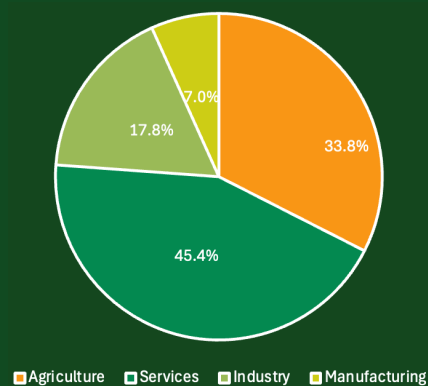
Uncertainty in regional relations particularly transit through Benin adds trade and financing risks, and a narrow tax base alongside high under-employment continues to limit broad-based growth.

Debt to GDP Ratio



Low risk under IMF/World bank Benchmarks

Sectoral Contribution to GDP



Key Economic Development Metrics

GDP per capita:
\$723

Life Expectancy:
61 yrs

Inflation Rate(Avg):
9.1%

Poverty Rate:
45.5%

Developmental Project Highlights

USD 100M

Niger Solar Electricity Access Project (NESAP)

USD 33M

Water Mobilization Project for Food Security

USD 30 M

National Education and Training Sector Program



Security Strain

- Liptako-Gourma region faces sustained attacks from jihadist groups, cutting off trade routes with Mali and Burkina Faso
- Diffa region remains impacted by Boko Haram, disrupting fishing and pepper cultivation
- Armed escorts are required for many supply convoys to reach northern mining zones.
- Rural markets in insecure zones operate at reduced capacity

Trade Disruptions

- ECOWAS and donor sanctions following the 2023 coup froze regional banking transactions and development funding
- Closure of the Benin border halted crude exports through the Sèmè-Kpodji terminal
- Fuel shortages emerged after Nigeria restricted exports, raising transport and food costs.
- Infrastructure projects reliant on external contractors stalled due to financing delays

Resource Pressures

- Uranium output has been volatile with shifts in French and global demand.
- Planned oil production increases hinge on pipeline completion and stable export corridors.
- Over 80% of the workforce is vulnerable to droughts and pasture shortages due to subsistence farming
- Rapid population growth is outpacing gains in food production and job creation.

Access & Infrastructure Gaps

- Rural electrification rates remain below 5%, with many communities dependent on small diesel generators.
- Major roads linking Niamey to border regions face deterioration from heavy military use
- Health services limited outside cities, with high maternal and child mortality rates.
- Chronic water scarcity in arid regions forces reliance on costly boreholes and seasonal wells.

Five-Year Outlook (2025-2030)

- GDP growth projected at 6%+ annually after oil exports ramp up through the Niger–Benin pipeline, alongside steady mining and agricultural activity.
- Inflation expected to moderate as fuel and food supplies normalize with improved trade flows.
- Fiscal revenues will rise significantly from oil, but high security spending and demographic pressures will strain budgets.
- Long-term stability will depend on restoring regional economic ties, safeguarding oil export routes, and expanding basic services to rapidly growing rural populations.

COUNTRY: NIGERIA



Founded

1960

Population

232.7M

GDP

\$187.8B

HDI Rank

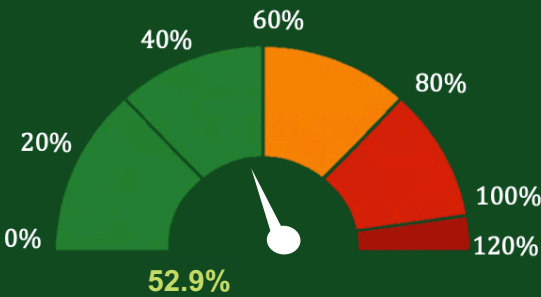
164

Overview

Nigeria’s economy is adjusting to ongoing reforms, including fuel-subsidy removal and exchange-rate changes, but the macroeconomic environment remains strained. Persistent inflation and currency volatility are eroding real incomes, while underperforming oil output limit foreign-exchange receipts.

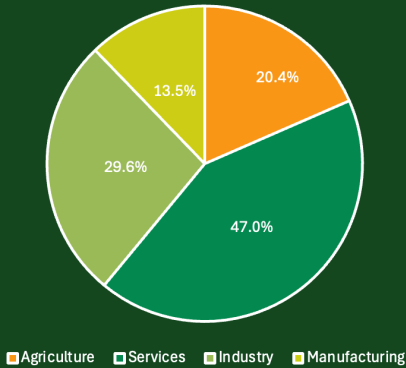
Fiscal space is tight given low non-oil revenue and elevated debt-service needs, and chronic power shortages and insecurity continue to weigh on private investment. Agriculture and services provide some resilience, but stronger, more inclusive growth hinges on stabilizing the FX market, rebuilding revenues, and tackling power, transport, and governance gaps.

Debt to GDP Ratio



Low risk under IMF/World bank Benchmarks

Sectoral Contribution to GDP



Key Economic Development Metrics

GDP per capita:
\$807

Life Expectancy:
54.5 yrs

Inflation Rate(Avg):
33.2%

Poverty Rate:
46.0%

Developmental Project Highlights

USD 11.1 B

Lagos-Calabar Coastal Railway

USD 6B

Mambilla Hydropower Project

USD 6 B

Eko Atlantic City Project



Energy Sector Constraints

- Crude oil production remains below OPEC quota due to pipeline vandalism, oil theft, and underinvestment in infrastructure.
- Petroleum subsidy removal in 2023 increased domestic fuel prices,
- Chronic power shortages and grid instability push businesses toward costly diesel generators.
- Gas sector development lags potential despite vast reserves.

Security & Conflict Pressures

- Armed banditry in the northwest disrupts farming, mining, and rural markets.
- Boko Haram and Islamic State West Africa Province continue to operate in the northeast, causing displacement and insecurity.
- Farmer–herder clashes in the Middle Belt reduce agricultural output and damage livelihoods.
- Oil-producing regions in the Niger Delta face ongoing sabotage and community unrest

Fiscal & Currency Challenges

- Public debt servicing consumes a large share of federal revenues
- Naira depreciation and unification of exchange rates have raised import costs and inflation.
- Limited non-oil revenue mobilization leaves the budget highly dependent on hydrocarbon earnings.
- State-level fiscal distress affects public services, and infrastructure investment.

Urban & Infrastructure strain

- Lagos, Africa's largest city, faces chronic congestion, housing shortages, and overstretched public transport.
- National rail and road corridors suffer from maintenance backlogs, raising logistics costs.
- Electricity grid instability forces industries and households to rely on costly self-generation.
- Healthcare and education systems are uneven in quality, with major urban–rural disparities.

Five-Year Outlook (2025-2030)

- GDP growth forecast at 3–4% annually, paced by oil sector stabilization, infrastructure projects, and expanding services.
- Inflation expected to decline gradually as currency markets stabilize and domestic refining reduces fuel import dependence.
- Subsidy removal and exchange rate reforms will improve fiscal space, though debt service will remain a constraint.
- Long-term prospects depend on curbing oil theft, expanding non-oil exports, and resolving persistent security crises to unlock investment potential.

COUNTRY: SENEGAL



Founded

1960

Population

18.4M

GDP

\$32.2B

HDI Rank

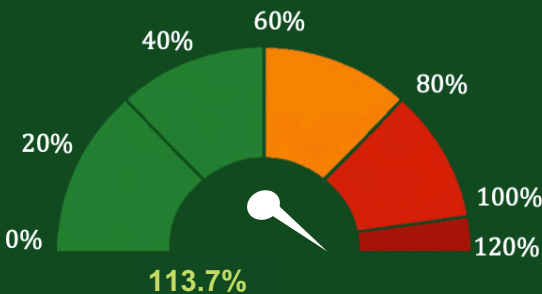
169

Overview

Senegal’s economy is pivoting toward hydrocarbons, but growth remains uneven and reliant on a few sectors. Fiscal space is tight amid elevated public debt, subsidy pressures, and arrears in the power sector, while a sizable external financing need persists until energy exports scale up.

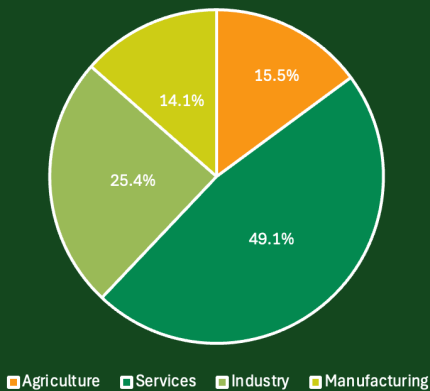
Inflation has eased but still strains real incomes, and structural limitations continue to weigh on competitiveness. Strengthening non-oil revenues, clearing energy-sector arrears and providing stable rules for the nascent oil and gas industry are critical for a more durable broad-based expansion.

Debt to GDP Ratio



Very High risk under IMF/World bank Benchmarks

Sectoral Contribution to GDP



Key Economic Development Metrics

GDP per capita:
\$1744

Life Expectancy:
64.4 yrs

Inflation Rate(Avg):
0.8%

Poverty Rate:
36.0%

Developmental Project Highlights

USD 600 M

Senegal Power Compact

USD 150 M

Senegal Energy Access Scale-up project

USD 6 B

Gambia Essential Health Services Strengthening Project



Energy Transition

- Offshore oil and gas projects have faced repeated delays
- Heavy reliance on foreign contractors as local capacity in engineering is limited
- Revenue management frameworks are still incomplete
- Energy infrastructure for domestic gas utilization is underdeveloped, restricting integration into National power grid

Growth & Infrastructure Strain

- Rapid expansion of Dakar is outpacing transport, housing, and sanitation infrastructure.
- Traffic congestion in the capital increases logistics costs and reduces productivity.
- Public transport upgrades, including the TER commuter rail, face operational and maintenance challenges.
- Informal settlements in flood-prone zones heighten disaster risk during the rainy

Agricultural Dependence

- Groundnuts, fisheries, and horticulture remain key rural livelihoods, but yields are affected by erratic rainfall
- Coastal erosion along Saint-Louis and the Petite Côte is displacing fishing communities
- Irrigation coverage is limited, leaving most farming dependent on variable rainfall.
- Overfishing and declining fish stocks impact both domestic consumption and export earnings.

Fiscal & External Balances

- Large public investment in energy, transport, and social programs has increased debt levels in recent years.
- Current account deficits remain significant due to high capital goods imports
- Tourism revenues have rebounded but remain sensitive to external shocks.
- Non-hydrocarbon export diversification is limited, keeping the economy reliant on a narrow set of sectors.

Five-Year Outlook (2025-2030)

- GDP growth projected at 7–8% annually from 2025, driven by hydrocarbon exports, infrastructure investment, and service sector expansion.
- Inflation expected to remain moderate within WAEMU's 1–3% target, supported by regional monetary stability.
- Fiscal revenues will increase substantially with the start of oil and gas production, expanding fiscal space for development spending.
- Long-term stability depends on transparent management of resource wealth, investment in climate-resilient agriculture

COUNTRY: SIERRA LEONE



Founded

1961

Population

8.6M

GDP

\$7.55B

HDI Rank

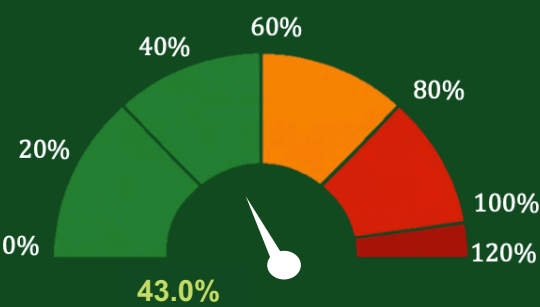
185

Overview

Sierra Leone’s macroeconomic setting is stabilizing after tighter policies, but vulnerabilities remain pronounced Fiscal space is constrained by persistent losses in the power sector and arrears pressures and a narrow revenue base

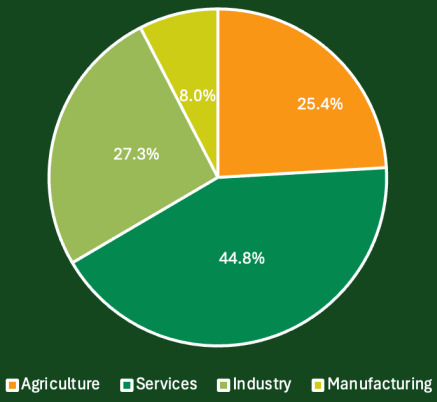
Growth is heavily tied to mining, leaving activity exposed to commodity swings, and chronic electricity access and reliability issues continue to suppress firm productivity. A pronounced sovereign-bank nexus, banks holding large shares of government paper, also crowds out private credit and heightens financial-stability risks

Debt to GDP Ratio



Low risk under IMF/World bank Benchmarks

Sectoral Contribution to GDP



Key Economic Development Metrics

GDP per capita:
\$873

Life Expectancy:
56.3 yrs

Inflation Rate(Avg):
28.4%

Poverty Rate:
26%

Developmental Project Highlights

USD 66 M

Enhancing Sierra Leone Energy Access Project

USD 64 M

Resilient Urban Sierra Leone Project

USD 50 M

Sierra leone Digital Transformation Project



Mining Dependence

- Mineral exports, especially iron ore and rutile, account for a large share of foreign exchange earnings.
- Processing capacity is minimal, with most minerals exported in raw form.
- Global price fluctuations have a direct impact on fiscal revenues and export performance.
- The mining sector creates few jobs relative to its share of GDP

Inflation & Currency Weakness

- The leone has depreciated sharply in recent years, increasing the cost of imported goods.
- Inflation remains high, driven by food, fuel, and transport prices.
- Exchange rate instability disrupts business planning and deters investment.
- Rising living costs have eroded household purchasing power and increased poverty rates.

Governance Constraints

- Public sector capacity is limited, slowing the implementation of development projects.
- Corruption and weak accountability undermine public trust and donor confidence.
- Revenue collection is low, restricting fiscal space for infrastructure and social spending.
- Judicial and regulatory systems face delays and inefficiencies that affect the business climate.

Infrastructure & Energy Deficits

- Road quality is poor in many regions, limiting market access for farmers and traders.
- Electricity generation is insufficient, with frequent outages affecting businesses and households.
- Rural communities have limited access to clean water and sanitation facilities.
- Port and logistics infrastructure require upgrades to support export competitiveness.

Five-Year Outlook (2025-2030)

- GDP growth projected at 4–5% annually, supported by mining expansion, agriculture, and infrastructure investment.
- Inflation is expected to ease gradually if currency stability improves, and food supply chains strengthen.
- Fiscal stability will depend on effective revenue mobilization and disciplined public spending.
- Long-term growth will require diversifying exports, strengthening governance, and closing infrastructure and energy gaps.

COUNTRY: TOGO



Founded

1961

Population

9.8M

GDP

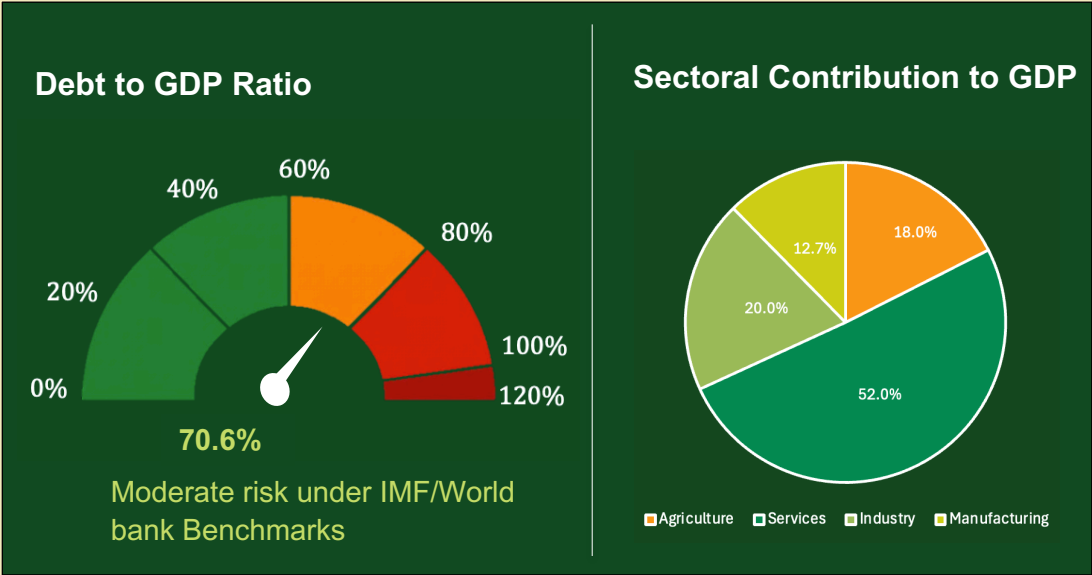
\$9.93B

HDI Rank

185

Overview

Togo’s economy remains resilient, anchored by Lomé’s deep-water port and its logistics and services hub. Yet key macro constraints persist: fiscal space is tight and debt-sustainability requires continued consolidation amid regional refinancing pressures and pockets of banking-sector risk. Inflation has moderated but still erodes real incomes. Security incidents in the north and lingering food insecurity add strain and low agricultural productivity and barriers to private investment continue to limit diversification and job creation.



Key Economic Development Metrics

GDP per capita:
\$873

Life Expectancy:
58.2 yrs

Inflation Rate(Avg):
3.2%

Poverty Rate:
45.5%

Developmental Project Highlights

USD 110M	Togo Digital Acceleration Project
USD 100 M	Togo Urban Water Security Project
USD 79M	Urban Centers Electricity Network Extension Program



Export Concentration

- Phosphate exports remain a core foreign exchange earner, leaving revenues exposed to fluctuations in global demand and prices.
- Cotton farming Faces low yields from outdated farming practices
- Coffee and cocoa production are constrained by aging trees and poor market access.
- Limited agro-processing keeps most commodities exported in raw form, reducing domestic value capture

Transport & Corridor Dependence

- The Lomé–Ouagadougou transport corridor is a key revenue source, but security issues in Burkina Faso disrupt overland trade.
- High road maintenance costs and congestion near Lomé port slow cargo handling and raise costs for shippers.
- Reliance on a single deep-water port makes trade vulnerable to policy disputes
- Smuggling and informal cross-border trade reduce official customs revenues.

Urban Pressures & Housing Deficits

- Rapid population growth in Lomé strains urban services, including water supply, waste collection, and public transport.
- Informal settlements are expanding without adequate sanitation or drainage, increasing flood risks.
- Affordable housing shortages push low-income families into overcrowded conditions.
- Weak urban planning enforcement hampers infrastructure expansion in new districts.

Climate Vulnerability

- Electricity generation relies heavily on imports from Ghana and Nigeria, making supply vulnerable to external disruptions.
- Industrial users face high tariffs and frequent outages, raising production costs.
- Expansion of renewable energy capacity is slow despite high solar potential.
- Rural electrification rates remain low, limiting off-farm economic opportunities.

Five-Year Outlook (2025-2030)

- GDP growth projected at 5–6% annually, driven by port services, mining, and agricultural output.
- Inflation expected to remain within WAEMU's 1–3% range under regional monetary stability.
- Public finances will rely on balancing infrastructure investment with careful debt management.
- Structural transformation will depend on expanding agro-processing, securing transport corridors, and reducing reliance on external electricity imports.



8.0 Conclusion

West Africa stands at a critical juncture, facing a complex web of economic, social, and political challenges that demand coordinated regional action and bold policy innovation. The region's recent GDP growth, while promising in pockets, is increasingly overshadowed by unsustainable debt levels.

Rising debt-to-GDP ratios threaten long-term fiscal stability, underscoring the urgent need for transparent borrowing practices and stronger partnerships with multilateral development banks. Trade remains a powerful engine for growth, yet tariff barriers and political fragmentation continue to stifle regional integration. Unlocking the potential of regional value chains requires harmonized policies, reduced trade frictions, and a renewed commitment to ECOWAS protocols.

Poverty and food insecurity persist as structural impediments, exacerbated by climate shocks, weak infrastructure, and declining agricultural productivity. Addressing these issues calls for climate-resilient farming practices, targeted social protection programs, and investment in rural infrastructure to bridge the development divide.

Security concerns, particularly the spread of violent extremism in the Sahel, rising civilian displacement, and democratic backsliding, pose existential threats to stability. These crises demand a regional security framework that combines military coordination with community-based peacebuilding and governance reforms. With a rapidly growing population and limited formal job opportunities, the region must prioritize vocational training, entrepreneurship, and labor market reforms to harness the demographic dividend.

Finally, country-specific developmental challenges highlight the need for tailored solutions that reflect local realities. While regional cooperation is essential, national governments must also take ownership of reforms and align them with broader ECOWAS goals. In sum, West Africa's path forward hinges on balancing economic ambition with social equity, regional unity with national sovereignty, and short-term fixes with long-term resilience. The stakes are high, but so is the potential.



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